

The Current State of the Mobile Entertainment Industry

With entertainment-capable handsets now widely available in most of the northern hemisphere, and with content, distribution and billing systems widely deployed, the basic value chain for the mobile entertainment industry is in place. At its current stage of development, we have identified both technological and strategic issues that will drive the development of the mobile entertainment industry. This section will present the mobile entertainment value chain and each of the technology and strategy issues the industry faces.

Mobile Entertainment Value Chain

Starting with the companies that produce mobile entertainment's raw materials and moving toward the companies most closely connected to the consumer, the industry can be divided into eight distinct segments:

Content Origination:

This group of companies creates original content or provides recognizable brands, characters or themes for mobile entertainment applications. Companies in this segment include Disney, Vivendi Universal, and Sega.

Application Development:

By employing technical expertise or technology, application developers create individual entertainment products. Sample companies include Codetoy, Centerscore, Ideaworks 3D, and in-house development groups at larger companies.

Publishers/Aggregators:

These companies or divisions fund application or product development through advances against royalties, staged or one-time payments, or other revenue models. Portals or Web communities that gather and sell member-generated content also fit into this category. Example companies include Digital Bridges, JAMDAT, Aspiro and the wireless divisions of Sega and THQ.